

# Chapter Five

## Risk Communication & Documentation

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# What is Risk Communication?

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**Risk Communication** is the process of **sharing, exchanging, and interpreting information about risks** among stakeholders (e.g., project managers, developers, clients, users, sponsors).

It ensures that:

- Everyone understands the **nature of risks**
- The **impact and likelihood** are clearly explained
- Proper **decisions and actions** are taken

**Risk communication :**  
Making sure the right people understand the right risks at the right time.

# Relationship to Other Software Risk Management Functions

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Risk communication is **not standalone**: it is integrated with all risk management activities:

## ➤ Risk Identification

Communication helps gather risk information from different stakeholders

Example: Developers report technical risks

## ➤ Risk Analysis

Risk details (probability, impact) must be communicated clearly

Enables shared understanding of severity

## Relationship to Other Software Risk Management Functions...

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### ➤ **Risk Planning (Response Planning)**

Stakeholders discuss and agree on mitigation strategies

Communication ensures alignment

### ➤ **Risk Monitoring & Control**

Continuous updates about risk status

Escalation of critical risks

- Without communication, risk management fails even if analysis is perfect.

# Enablers of Effective Risk Communication

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These are factors that **improve communication quality**:

➤ **Clear Communication Channels**

- Defined reporting structure
- Example: Weekly risk review meetings

➤ **Stakeholder Engagement**

- Active participation of all relevant parties
- Encourages transparency

➤ **Proper Documentation**

- Written records reduce misunderstandings
- Example: Risk register

## Enablers of Effective Risk Communication...

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### ➤ **Use of Simple Language**

- Avoid technical jargon when unnecessary
- Ensures everyone understands

### ➤ **Trust and Open Culture**

- Team members feel safe reporting risks
- No fear of blame

### ➤ **Tools and Technology**

- Tools like dashboards, project management software
  - Improve visibility of risks
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# Barriers to Effective Risk Communication

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These are obstacles that **hinder communication**:

## ➤ **Lack of Transparency**

- Stakeholders hide or ignore risks
- Leads to unexpected failures

## ➤ **Poor Communication Skills**

- Misinterpretation of risk information
- Confusion among team members

## ➤ **Organizational Silos**

- Teams don't share information
- Risks remain isolated



# Barriers to Effective Risk Communication...

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## ➤ **Cultural Differences**

- Different perceptions of risk
- Communication gaps

## ➤ **Information Overload**

- Too much data makes it hard to focus on critical risks

## ➤ **Lack of Proper Tools**

- No centralized system for tracking risks

# Documentation of Risks

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➤ Risk documentation is the process of **recording all risk-related information** in a structured way.

## **Purpose:**

- Track risks throughout the project
- Support decision-making
- Provide historical reference
- Improve accountability

# Methods of Risk Documentation

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## ➤ Risk Register (Most Important)

- A central document that contains:
  - ✓ Risk ID
  - ✓ Description
  - ✓ Probability
  - ✓ Impact
  - ✓ Risk Level
  - ✓ Mitigation Strategy
  - ✓ Owner
  - ✓ Status

## ➤ Risk Reports

- Periodic summaries (weekly/monthly)
- Show:
  - ✓ New risks
  - ✓ Resolved risks
  - ✓ High-priority risks

# Methods of Risk Documentation...

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## ➤ **Risk Breakdown Structure (RBS)**

- Hierarchical classification of risks
- Example categories:
  - ✓ Technical risks
  - ✓ Project risks
  - ✓ Business risks

## ➤ **Lessons Learned Documentation**

- Records past risk experiences
- Helps avoid future mistakes

# Tools for Risk Documentation & Communication

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## Spreadsheets (e.g., Microsoft Excel)

- Used to create a **Risk Register**
- You can list: risk, probability, impact, owner, status
- Simple and flexible
- Not ideal for large teams
- Example:
  - ✓ A table where each row = one risk

## Project Management Tools (e.g., Jira, Trello, Asana)

- Manage risks **along with tasks**
- Assign risks to team members
- Track progress and updates
- Good for team collaboration
- Real-time updates
- Example:
  - ✓ Create a “Risk” task and assign it to a developer

# Tools for Risk Documentation & Communication...

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## Risk Management Software

- Specialized tools designed only for risk tracking
- Provide:
  - ✓ Risk analysis
  - ✓ Automatic scoring
  - ✓ Reports
  - ✓ Best for large/complex projects
  - ✓ Can be expensive

## Dashboards & Visualization Tools

- Show risks using:
  - Charts
  - Heat maps (high vs low risk)
- Helps managers make quick decisions
- Easy to understand visually
- Example:  
Red = high risk, Green = low risk

# Best Practice for Risk Documentation & Communication

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- Keep Documentation Clear and Simple
  - Use easy language (avoid unnecessary technical terms)
  - Make risks easy to understand for all stakeholders
- Use a Standard Format (Risk Register)
  - Record risks in a consistent structure
  - Include: description, impact, probability, owner, status
  - Ensures consistency and easy tracking
- Communicate Early and Regularly
  - Share risks as soon as they are identified
  - Provide continuous updates (meetings, reports)
  - Prevents surprises
- Focus on High-Priority Risks
  - Highlight risks with high impact or high probability
  - Avoid overwhelming stakeholders with too much detail

# Best Practice for Risk Documentation & Communication...

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- Assign Clear Ownership
  - Each risk should have a responsible person (risk owner)
  - Ensures accountability
- Update Documentation Regularly
  - Keep risk records current
  - Remove resolved risks and update status
- Maintain Transparency and Openness
  - Encourage honest reporting of risks
  - No blame culture
  - Builds trust and improves communication
- Use Appropriate Tools
  - Use tools (spreadsheets, dashboards, project tools)
  - Makes risks visible and organized



# Continuous Risk Management (CRM)

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## What is Continuous Risk Management?

- **Continuous Risk Management** is the process of **continuously identifying, analyzing, planning, tracking, and controlling risks throughout the entire project lifecycle**--not just at the beginning.
  - Risk management is **ongoing**, not a one-time activity.

# CRM Cycle (Core Activities)

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Think of CRM as a loop with 5 steps:

Identify Risks → Analyze Risks → Plan Risk Responses → Track Risks → Control Risks



## Identify Risks

- Detect potential problems early
- Sources: team discussions, past projects, user feedback
- Example: *System may crash under high user load*

## Analyze Risks

- Evaluate:
  - **Probability** (How likely?)
  - **Impact** (How serious?)
- Example:  
High probability + High impact = Critical risk

# CRM Cycle (Core Activities)...

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## **Plan Risk Responses**

- Decide what to do:
  - Avoid
  - Reduce (mitigate)
  - Transfer
  - Accept

- Example:  
Use load balancing to reduce crash risk

## **Track Risks**

- Monitor risk status over time
- Check if risk is increasing or decreasing
- Example:  
Monitor system performance during testing

## **Control Risks**

- Take corrective action when needed
- Update plans and documentation
- Example:  
Upgrade servers if performance is still poor

# Continuous Risk Management (CRM)

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# How to Implement Continuous Risk Management

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## **Step 1: Establish a Risk Management Plan**

### ➤ Define:

- Process
- Roles (who is responsible)
- Tools (e.g., risk register)

## **Step 2: Create and Maintain a Risk Register**

### ➤ Record all risks with:

- Description
- Impact
- Probability
- Owner
- Status

## **Step 3: Integrate CRM into Daily Workflow**

- Include risk discussions in:
  - Daily standups
  - Weekly meetings
- Makes risk management continuous

## **Step 4: Assign Risk Owners**

- Each risk must have a responsible person
  - Ensures accountability

## **Step 5: Regular Risk Reviews**

- Review risks periodically:
  - Weekly or biweekly
- Update status and priorities

# How to Implement Continuous Risk Management...

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## **Step 6: Use Tools for Tracking & Communication**

- Spreadsheets or project tools
- Dashboards for visualization

## **Step 7: Learn and Improve**

- Document lessons learned
- Improve future risk handling

# How to Implement Continuous Risk Management...

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## **Practical Example: Project: Mobile Banking Application**

### **Step 1: Identify Risk**

- Risk: App may fail during peak transaction hours

### **Step 2: Analyze Risk**

- Probability: High
- Impact: Very High
  - Risk Level: Critical

### **Step 3: Plan Response**

- Strategy: Mitigation
- Action:
  - Use cloud auto-scaling
  - Optimize database queries

### **Step 4: Track Risk**

- Monitor:
  - Server load
  - Response time

### **Step 5: Control Risk**

- If performance drops:
  - Add more servers
  - Improve code efficiency

### **Step 6: Continuous Review**

- Weekly review:
  - Risk status updated
  - Adjust strategy if needed

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# Thank you!

Do you have any questions?